NOTE 11: INCOME TAXES

Loss before income taxes consisted of income from domestic and foreign operations of $45.4 million for the calendar year ended December 31, 2024. Income tax expense included in the statements of operations and comprehensive loss consisted of the following:

	December 31,	
	2024	2023
Current		
Federal	$ 935,717	$ 2,381,973
Foreign	-	2,204,454
State	(229,642)	995,545
Total current	706,075	5,581,972
Deferred		
Federal	270,495	366,647
Foreign	-	-
State	-	-
Total deferred	270,495	366,647
Total provision	$ 976,570	$ 5,948,619

Income tax expense differed from the amount computed by applying the Federal statutory income tax rate of 21% to pretax income (loss) for fiscal year 2024 as a result of the following:

	December 31, 2024	
	Amount	Rate
Income (loss) before taxes	$(45,360,217)	
Federal tax at statutory rate	(9,482,578)	21%
State income taxes, net of federal tax benefit	(311,211)	0.7%
Foreign taxes	(377,077)	0.8%
Change in valuation allowance	(5,169,650)	11.5%
162(m) limitations	1,217,581	(2.7)%
Stock based compensation	3,891,235	(8.6)%
Permanent differences	(615,723)	1.4%
Difference and changes in tax rates	(96,667)	0.2%
Impact of deconsolidation	2,613,260	(5.8)%
Return to provision	9,307,400	(20.6)%
Total	$ 976,570	(2.1)%

NOTE 11: INCOME TAXES (Cont.)

The tax effects of temporary differences that gave rise to significant portions of the Company’s deferred tax assets and liabilities related to the following:

	December 31,	
	2024	**2023**
Assets		
Net operating loss carryforwards	$ 20,003,160	$ 25,994,146
Operating Lease Liability	1,097,752	630,235
Accrued Liabilities	1,062,960	1,989,103
Unrealized Loss	1,127,685	1,428,304
Stock based compensation	3,278,494	5,836,809
Disallowed Interest Expense	-	-
Business interest expense deduction limit	2,578,311	2,178,167
Other	22,288	22,865
Total deferred tax assets	**29,170,650**	**38,079,629**
Liabilities		
Right of Use Asset	(1,148,959)	(597,503)
Property, plant and equipment, net	(6,420,798)	(10,150,612)
Derivative asset	(726,139)	(1,016,616)
Total deferred tax liabilities	**(8,295,896)**	**(11,764,731)**
Valuation allowance	(21,511,895)	(26,681,545)
Net deferred tax liability	**$ (637,141)**	**$ (366,647)**

Management believes that, based on available evidence, both positive and negative, it is more likely than not that the deferred tax assets will not be utilized. The valuation allowance decreased by $5.2 million for the year ended December 31, 2024, primarily as a result of current year activities.

As of December 31, 2024, the Company had approximately $0 million Australian net operating losses (NOL), that will have an indefinite life carryforward. In addition, the Company has approximately $77.5 million of indefinite lived US Federal NOLs and $100.6 million of U.S. state NOLs as of December 31, 2024. The Internal Revenue Code “IRC” limits the amount of NOL carryforwards that a company may use in a given year in the event of certain cumulative changes in ownership over a three-year period as described in Section 382 of the IRC. Utilization of NOL carryforwards and credits may be subject to a substantial annual limitation due to the ownership change limitations provided by the Internal Revenue Code of 1986, as amended, and similar state provisions. The annual limitation may result in the expiration of net operating losses and credits before utilization. The Company has not conducted a Section 382 study as of December 31, 2024.

If recognized, all of the unrecognized tax benefits would not impact the effective tax rate due to the valuation allowance against certain deferred tax assets. As of December 31, 2024, the Company had no unrecognized income tax benefits. The Company does not anticipate any significant increases or decreases to unrecognized tax benefit during the next twelve months. The Company’s policy is to classify interest and penalties associated with unrecognized tax benefits as income tax expense. The Company had no interest or penalty accruals associated with uncertain tax benefits in its consolidated balance sheet and consolidated statement of operations for the tax year ended December 31, 2024.

The Company files income tax returns in the U.S. Federal, U.S. State, and foreign jurisdictions. The Company is not currently under examination by income tax authorities in federal or state jurisdictions. All tax returns will remain open for examination by the federal and most state taxing authorities for three years and four years, respectively, from the date of utilization of any net operating loss carryforwards or research and development credits.

The Company has made no provision for U.S. income taxes on cumulative undistributed non-U.S. earnings as of December 31, 2024 due to the Company’s limited cumulative earnings and profits generated in its non-US jurisdictions. The Company doesn’t anticipate any material withholding taxes based on cumulative earnings as of December 31, 2024.